

indicates that a quick, biographic glance at a client could provide important context for portfolio design.

Bailard, Biehl, and Kaiser Five-Way Model

The Bailard, Biehl, and Kaiser (BB&K) model features some of the principles of the Barnewall model, but by classifying investor personalities along two axes—level of confidence and method of action—it introduces an additional dimension of analysis. Bailard, Biehl, and Kaiser (1986) provide a graphic representation of their model (Figure 26.1). Kaiser (1990) explains:

The first (aspect of personality) deals with how confidently the investor approaches life, regardless of whether it is his approach to his career, his health, or his money. These are important emotional choices, and they are dictated by how confident the investor is about some things or how much he tends to worry about them. The second element deals with whether the investor is methodical, careful, and analytical in his approach to life or whether he is emotional, intuitive, and impetuous. These two elements can be thought of as two “axes” of individual psychology; one axis is called the “confident–anxious” axis and the other is called the “careful–impetuous” axis [see Figure 26.1].

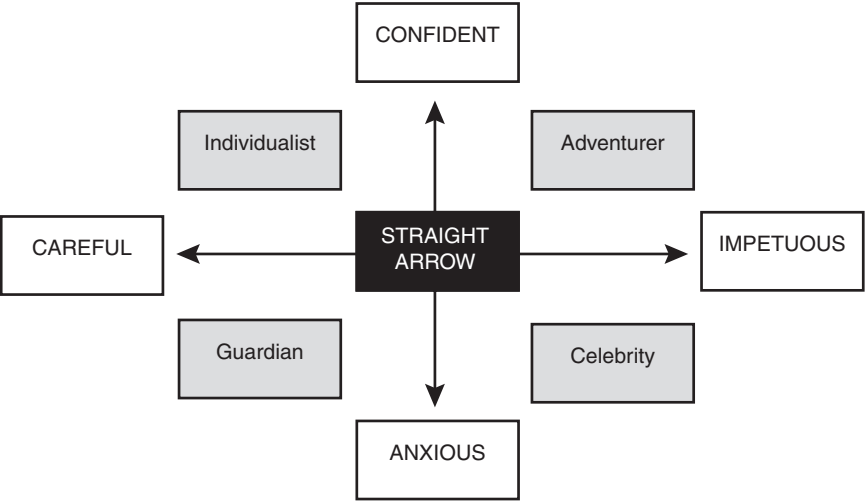


FIGURE 26.1 Bailard, Biehl, and Kaiser Model